

## Tentative Rulings for September 9, 2026 Department PS2

**To request oral argument, you must notify Judicial Secretary  
Carol Delfosse-Kidd at (760) 904-5722  
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department PS2 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

COUNSEL AND SELF-REPRESENTED PARTIES ARE ENCOURAGED TO APPEAR AT ANY LAW AND MOTION DEPARTMENT TELEPHONICALLY WHEN REQUESTING ORAL ARGUMENTS.

For information and instructions on remote appearances via **ZOOM**, visit the court's website at [Riverside Superior Court-Remote Appearances](#)

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,  
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **161 644 5616**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

**Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.**

1.

| CASE #      | CASE NAME                                                  | HEARING NAME                                           |
|-------------|------------------------------------------------------------|--------------------------------------------------------|
| CVPS2301515 | NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC | MOTION TO TAX COSTS BY NEW GENERATION INVESTMENTS, LLC |

**Tentative Ruling:** Granted.

Plaintiff/Cross Defendant to provide notice pursuant to CCP 1019.5.

Plaintiff, New Generation Investments, LLC, alleges that Defendant, Palm 10 Associates, LLC (Palm 10) owns 246.4 acres of real property located near the intersection of Palm Drive and the I-10 freeway in Palm Springs. Plaintiff alleges that on 10/14/21, High Sand Dessert, LLC and Defendant entered into a Vacant Land Purchase Agreement and Joint Escrow Instructions (PSA), which was later assigned to Plaintiff, an entity with ownership common to High Sand Dessert, LLC. When Plaintiff and Palm 10 met to sign the PSA, the price was \$1.5 million higher than what they had previously agreed to. Defendant, Susan Harvey (Harvey), served as the dual real estate agent of both parties, and represented to them that she had received a “full price offer” for \$10,348,800 (\$1.5 million higher than agreed). Palm 10 heard Harvey’s representation, but did not correct her. Plaintiff protested the higher price, but she and Palm 10 indicated that they owed it to Palm 10’s partners to get the highest available price for the property. Plaintiff was unaware that Harvey’s representation about another offer was false – she had increased the price for Palm 10’s benefit to Plaintiff’s detriment when Plaintiff was also her fiduciary. Plaintiff alleges that Palm 10 concealed its knowledge that there was no other buyer.

Based on the false representation, Plaintiff signed the PSA, made the requisite deposit, performed all its obligations except those concerning its performance that were frustrated or prevented. Plaintiff ran into obstacles due to the size of the property that fell within multiple municipal jurisdictions with different permitting processes. The parties made amendments to accommodate Plaintiff’s due diligence. In about the third quarter of 2022, Plaintiff needed an additional extension of the escrow closing date, which Palm 10 agreed to, and inserted release language as to Palm 10, which excluded claims by Plaintiff against Harvey, as Palm 10’s agent. Plaintiff alleges that due to the exclusion Palm 10 remains liable for claims arising out of Harvey’s fraudulent conduct. Plaintiff also alleges that Harvey blocked Plaintiff’s access to the property, and interfered with its rights and ability to close escrow; that Palm 10 demanded Plaintiff close escrow; and that Plaintiff attempted to obtain an additional extension. Around this time, Plaintiff learned of Harvey’s fraudulent misrepresentation; she ultimately acknowledged there was no other offer. Plaintiff then demanded mediation under the Agreement, but Palm 10 has refused to respond to the demand.

Plaintiff filed its Complaint on 4/3/23 alleging five causes of action: 1) breach of contract; 2) specific performance; 3) rescission; 4) breach of fiduciary duty; and, 5) fraud.

On 3/13/24, Cross-Complainant, Palm 10, filed its Cross-Complaint alleging four causes of action: 1) breach of contract for damages; 2) breach of contract for specific performance; 3) negligent misrepresentation; and, 4) intentional misrepresentation.

This matter was tried before a jury beginning on 2/3/26. Following deliberation, the jury returned a verdict, which provided no relief on any of Plaintiff’s causes of action against Palm 10, Harvey, or Desert Pacific Properties or Palm 10’s causes of action against Plaintiff. (see 3/16/26 Defense Judgment.)

Plaintiff/Cross-Defendant, New Generation Investments, LLC (New Generation), brings the instant motion to strike/tax costs claimed by Defendant/Cross-Complainant, Palm 10 Associates,

LLC (Palm 10), in its Memorandum of Costs (MOC) in the amount of \$86,449.22 filed on 4/7/26. New Generation argues that the entire MOC must be stricken/taxed on the ground that Palm 10 was not the prevailing party in this action so, Palm 10 cannot recover any costs. New Generation asserts that the Judgment confirms that this case resulted in a mutual take-nothing judgment.

Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10), opposes the motion arguing that it obtained defense verdicts on all of New Generation's causes of action including the breach of contract and specific performance claims where New Generation sought a \$1.5 million award; that Palm 10 is the prevailing party with a net recovery by being "awarded" the \$1.5 million in deposit monies and extension fees as well as a release of the lis pendens; that the authority cited by New Generation that neither side recovered relief is factually distinguishable.

The Reply asserts that Palm 10's Opposition relies on a single factual assertion – that the Judgment awarded \$1.5 million to Palm 10, which it did not; that Palm 10 failed to separate the costs incurred defending against New Generation's Complaint from the costs incurred in prosecuting the Cross-Complaint; and re-asserts prior arguments.

### Motion to Tax Costs

Cal. Rules of Court ("CRC"), Rule 3.1700, provides that a prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of the mailing of the entry of judgment . . . . An extension for filing this document can be given by the court or through an agreement by the parties. "[T]he court may extend the times for serving and filing the cost memorandum or notice of motion to strike or tax costs for a period not to exceed 30 days." (*Id.* at (b)(3).)

The losing party may dispute any or all of the items in the prevailing party's costs memorandum. (CRC, Rule 3.1700(b)). Technically, a motion to strike challenges the entire costs bill whereas a motion to tax challenges particular items or amounts. But, the terms are often used interchangeably and there is no difference in the procedural rules. (CRC, Rule 3.1700(b).)

Here, Plaintiff/Cross-Defendant, New Generation, argues that Palm 10's entire MOC must be stricken/taxed because Palm 10 is **not** the "prevailing party" in this action. In general, the prevailing party "is entitled *as a matter of right* to recover costs of suit in any action or proceeding. (Weil & Brown, CPG: Civil Trials and Evidence (TRG 2026) § 17:205 citing *Santisas v. Goodin* (1998) 17 Cal.4<sup>th</sup> 599, 606.) Where the requirements for a prevailing party are met, "the trial court has *no* discretion to order each party to bear their own costs of suit." (*Id.* citing *Michell v. Olick* (1996) 49 Cal.App.4<sup>th</sup> 1194, 1198.)

The term "prevailing party" is defined by statute to include: "The party with a *net monetary recovery*"; a defendant who is *dismissed* from the action; a defendant where *neither* plaintiff nor defendant recovers anything; and "[a] defendant as against those plaintiffs who do not recover any relief against that defendant." (*Id.* § 17:206.) "If the party does not fall into one of these four express categories, the court may exercise its *discretion* to award or deny costs. (*Id.* citing *Lincoln v. Schurgin* (1995) 39 Cal.App.4<sup>th</sup> 100, 105.) This is the case even if the prevailing party obtains only partial recovery (e.g., prevails on only one of several causes of action.) (*Id.* § 17:208 citing *Vought Const. Inc. v. Stock* (2022) 84 Cal.App.5<sup>th</sup> 622, 635; *Michell, supra.* at 1199.) Notably, "plaintiff" includes cross-complainants and "defendant" includes cross-defendants. (*Id.* § 17:228.)

The "Defense Judgment" was filed on 3/16/26, and entered on 3/24/26. It attaches the jury's verdict as Exhibit "A". As to New Generation's Complaint, the jury found no liability by Defendants, Palm 10, Harvey, and Desert Pacific Properties (DPP) to New Generation's Complaint. (Defense Judgment p. 17 of 21.) The jury also found no liability by New Generation as to Palm 10's Cross-

Complaint. (*Ibid.*) The verdict further provided that New Generation “shall take nothing” from Palm 10, Harvey, and DPP for its claims asserted in its Complaint. (*Ibid.*) And, Palm 10 “shall take nothing” from New Generation. (*Ibid.*)

New Generation argues that both it and Palm 10 sought the \$1.5 million in deposit and extension fees. Palm 10 asserts that it was the prevailing party because it obtained a “net monetary recovery” when the \$1.5 million was *awarded* to it. However, the verdict did not make any award to Palm 10. It merely provided that New Generation was “not entitled to a return of its deposits and/or extension fees.” (*Id.* p. 19 of 22.) These circumstances do not indicate that Palm 10 obtained a “net monetary recovery” to make it the prevailing party and its MOC must be stricken in its entirety.

## 2.

| CASE #      | CASE NAME                                                  | HEARING NAME                   |
|-------------|------------------------------------------------------------|--------------------------------|
| CVPS2301515 | NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC | HEARING ON MOTION TO TAX COSTS |

### **Tentative Ruling:**

Plaintiff, New Generation Investments, LLC, alleges that Defendant, Palm 10 Associates, LLC (Palm 10) owns 246.4 acres of real property located near the intersection of Palm Drive and the I-10 freeway in Palm Springs. Plaintiff alleges that on 10/14/21, High Sand Dessert, LLC and Defendant entered into a Vacant Land Purchase Agreement and Joint Escrow Instructions (PSA), which was later assigned to Plaintiff, an entity with ownership common to High Sand Dessert, LLC. When Plaintiff and Palm 10 met to sign the PSA, the price was \$1.5 million higher than what they had previously agreed to. Defendant, Susan Harvey (Harvey), served as the dual real estate agent of both parties, and represented to them that she had received a “full price offer” for \$10,348,800 (\$1.5 million higher than agreed). Palm 10 heard Harvey’s representation, but did not correct her. Plaintiff protested the higher price, but she and Palm 10 indicated that they owed it to Palm 10’s partners to get the highest available price for the property. Plaintiff was unaware that Harvey’s representation about another offer was false – she had increased the price for Palm 10’s benefit to Plaintiff’s detriment when Plaintiff was also her fiduciary. Plaintiff alleges that Palm 10 concealed its knowledge that there was no other buyer.

Based on the false representation, Plaintiff signed the PSA, made the requisite deposit, performed all its obligations except those concerning its performance that were frustrated or prevented. Plaintiff ran into obstacles due to the size of the property that fell within multiple municipal jurisdictions with different permitting processes. The parties made amendments to accommodate Plaintiff’s due diligence. In about the third quarter of 2022, Plaintiff needed an additional extension of the escrow closing date, which Palm 10 agreed to, and inserted release language as to Palm 10, which excluded claims by Plaintiff against Harvey, as Palm 10’s agent. Plaintiff alleges that due to the exclusion Palm 10 remains liable for claims arising out of Harvey’s fraudulent conduct. Plaintiff also alleges that Harvey blocked Plaintiff’s access to the property, and interfered with its rights and ability to close escrow; that Palm 10 demanded Plaintiff close escrow; and that Plaintiff attempted to obtain an additional extension. Around this time, Plaintiff learned of Harvey’s fraudulent misrepresentation; she ultimately acknowledged there was no other offer. Plaintiff then demanded mediation under the Agreement, but Palm 10 has refused to respond to the demand.

Plaintiff filed its Complaint on 4/3/23 alleging five causes of action: 1) breach of contract; 2) specific performance; 3) rescission; 4) breach of fiduciary duty; and, 5) fraud.

On 3/13/24, Cross-Complainant, Palm 10, filed its Cross-Complaint alleging four causes of action: 1) breach of contract for damages; 2) breach of contract for specific performance; 3) negligent misrepresentation; and, 4) intentional misrepresentation.

This matter was tried before a jury beginning on 2/3/26. Following deliberation, the jury returned a verdict, which provided no relief on any of Plaintiff's causes of action against Palm 10, Harvey, or Desert Pacific Properties or Palm 10's causes of action against Plaintiff. (see 3/16/26 Defense Judgment.)

Plaintiff/Cross-Defendant, New Generation Investments, LLC (New Generation), brings this motion to strike/tax costs claimed by Defendants, Desert Pacific Properties (DPP) and Susan Harvey (Harvey) in their Memorandum of Costs (MOC) in the amount of \$58,424.80 filed on 3/25/26. New Generation argues that Defendants' claim to cost-shifting under CCP § 998 fails because it was not a valid or enforceable CCP § 998 Offer of Compromise (§ 998 Offer) as it was conditioned on acceptance of a settlement agreement that contained a release of unknown claims not encompassed within the pending lawsuit; and, that even if the § 998 Offer were valid, the MOC improperly seeks to obtain costs incurred prior to the 11/20/25 § 998 Offer.

Defendants, DPP and Harvey, oppose the motion arguing that they are the prevailing party in this action entitled to costs as a matter of right; that the costs DPP seeks are reasonable; that New Generation has the burden to refute DPP's claimed costs; that other than as to experts, costs are not dependent on the timing of a § 998 Offer; DPP included only allowable costs; and, that the expert fees are recoverable after 11/20/25.

The Reply asserts that DPP and Harvey have the burden to prove their § 998 Offer was a valid one because as written its full value cannot be determined; that the expert fees must be stricken as they are not allowable under CCP § 1033.5(b)(1) and CCP § 998 is the only authority invoked; that even if the Court reached the merits thousands in charges are not allowable (e.g., attorney hotel/transportation charges).

### Motion to Tax Costs

Cal. Rules of Court ("CRC"), Rule 3.1700, provides that a prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of the mailing of the entry of judgment . . . . An extension for filing this document can be given by the court or through an agreement by the parties. "[T]he court may extend the times for serving and filing the cost memorandum or notice of motion to strike or tax costs for a period not to exceed 30 days." (*Id.* at (b)(3).) This motion is directed to the MOC filed by DPP and Harvey.

The losing party may dispute any or all of the items in the prevailing party's costs memorandum. (CRC, Rule 3.1700(b)). Technically, a motion to strike challenges the entire costs bill whereas a motion to tax challenges particular items or amounts. But, the terms are often used interchangeably and there is no difference in the procedural rules. (CRC, Rule 3.1700(b).)

Unlike the costs memorandum, a motion to tax costs based on factual matters must be supported by declarations. (*County of Kern v. Ginn* (1983) 146 Cal.App.3d 1107, 1113-1114.) For instance, where "reasonableness" is challenged, conclusory allegations that the item was "neither necessary nor reasonable" do not satisfy the objecting party's burden. (*Id.*; *Jones, supra.* at 1266.) If the items on their face appear to be proper charges, the verified costs memorandum is prima facie evidence of their propriety, and the burden is on the opposing party to show that they were not reasonable or necessary. (*Ladas v. California State Auto. Ass'n* (1993) 19 Cal.App.4<sup>th</sup> 761, 774-776; *Jones, supra.* at 1266.)

Pursuant to CCP §1033.5(c)(1), certain items are allowable costs, including filing and motion fees, service of process fees, and deposition costs. Costs must be both reasonable in amount and reasonably necessary to the conduct of the litigation. (CCP §1032; §1033.5(c)(2) and (3).) To obtain a costs award, the prevailing party must serve and file a memorandum of costs. (CRC, Rule 3.1700(a).) Supporting documentation such as bills or invoices are not required, unless costs are put in issue by a motion to tax costs. (*Jones v. Dumrichob* (1998) 63 Cal.App.4<sup>th</sup> 1258, 1267.)

CCP §1033.5 also provides a lists of costs that are allowable and those that are not. CCP §1033.5(c)(4) provides that any items not identified as allowable and not specifically identified as prohibited, may be permitted at the Court's discretion. "Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation." (CCP §1033.5(c)(2).)

In ruling on a motion to tax costs, the court must first determine "whether the statute expressly allows the particular item, and whether it appears proper on its face. If so, the burden is on the objecting party to show [the cost] to be unnecessary or unreasonable." (*Nelson v. Anderson* (1999) 72 Cal.App.4<sup>th</sup> 111, 131.) If an item is not expressly allowed under the statute, the burden is on the party seeking the expense to provide evidence that the fees are reasonable or necessary. (*Id.* at 132.)

Here, there is no dispute that DPP and Harvey are prevailing parties. Plaintiff/Cross-Defendant, New Generation, argues that many of the items in DPP's and Harvey's MOC must be stricken/taxed because their § 998 Offer is invalid. DPP and Harvey assert that the 11/20/25 § 998 Offer was conditioned on accepting a settlement agreement that improperly requires the release of unknown claims not encompassed in this lawsuit.

CCP § 998 is a cost-shifting statute designed "to encourage the settlement of litigation without trial, by punishing the party who fails to accept a reasonable settlement offer from its opponent." (Weil & Brown, CPG: Civ. Proc. Before Trial (TRG 2026) § 12:590 citing *Westamerica Bank v. MBG Indus., Inc.* (2007) 158 Cal.App.4<sup>th</sup> 109, 129.) A § 998 Offer must be in writing; state the terms and conditions of the proposed judgment or award; and contain a provision that allows the offeree to accept the offer by signing a statement so stating. (CCP § 998(b).)

Importantly, the terms must be certain and capable of valuation to trigger potential CCP § 998 penalties or it may not be possible to determine whether any recovery at trial is "more favorable." (*Id.* § 12:595 citing *Chen v. Interinsurance Exchange of Automobile Club* (2008) 164 Cal.App.4<sup>th</sup> 117, 121.) A § 998 Offer may contain nonmonetary terms such as a release but, "it may *not* be conditioned on matters that cannot be valued in monetary terms where CCP § 998 penalties are sought." (*Id.* § 12:596 citing *Barella v. Exchange Bank* (2000) 84 Cal.App.4<sup>th</sup> 793, 801.)

"An offer does not qualify under CCP § 998 if it seeks to dispose of claims beyond those at issue in the pending lawsuit because there is no way to determine whether a judgment in the pending action is "more favorable" than the value of those claims. (*Id.* § 12:596.5 citing *Chen, supra.*; *Ignacio v. Caracciolo* (2016) 2 Cal.App.5<sup>th</sup> 81, 84 ["general release of "any and all claims" whether "known or unknown" went beyond scope of current litigation and rendered offer invalid."]) However, where a release "[r]ead in context and as a whole" is "clearly limited to the claims in the underlying lawsuit" it is not overly broad. (*Auburn Woods I Homeowners Ass'n v. State Farm Gen. Ins. Co.* (2020) 56 Cal.App.5<sup>th</sup> 717, 726; *Rojas v. HSBC Card Svcs., Inc.* (2023) 93 Cal.App.5<sup>th</sup> 860, 894-896 [same].)

Here, the disputed § 998 Offer states that \$100,000.00 amount is conditioned on DPP and Harvey executing the Settlement Agreement and Mutual Releases in the attached thereto. (Dec. Safvati ¶ 2, Ex. "A", § 998 Offer.) The release in the Settlement and Release Agreement (SRA) states:

For the consideration set forth in this Agreement, the receipt and adequacy of which is hereby acknowledged, except for the obligations arising under this Agreement, the Parties agree that they each hereby release and forever discharge every other Party to the Agreement from any and all claims, actions, or causes of action, or obligations, liabilities, indebtedness, breaches of contract, breaches of duty, suits, liens, lawsuits, costs, or expenses of any nature whatsoever, *known or unknown*, fixed or contingent (except any agreements or claims arising directly from this Agreement), *arising out of, based upon, or relating to any matter alleged in the Action*. (Dec. Safvati ¶ 3, Ex. “A”, Ex. “A”, SRA § 4.1.)

While the SRA contains language indicating “unknown” claims, this language is expressly tied to the current litigation. (see *Id.* SRA § 2.1.) As a result, the § 998 Offer is valid. New Generation challenges specific entries in the DPP MOC on the ground that even if the § 998 Offer is valid, DPP and Harvey are claiming costs that they are not allowed to recover.

#### Item No. 1 (Filing and motion fees)

Under CCP § 1033.5(a)(1), filing fees are allowable costs, which must also be reasonably necessary to the conduct of the litigation and reasonable in amount. (CCP § 1033.5(c).) DPP and Harvey seek \$3,377.48 in filing and motion fees, which are individually listed in the MOC (Worksheet). New Generation argues that presuming the § 998 Offer is valid, DPP and Harvey can only recover costs incurred after the § 998 Offer was made. In other words, New Generation claims that DPP and Harvey served their § 998 Offer on 11/20/25 and are improperly seeking costs incurred prior to the date of the offer, which are not allowed.

However, there is no dispute that DPP and Harvey are prevailing parties. As such, they are “entitled as a matter of right to recover costs in any action or proceeding.” (CCP § 1032(b).) The MOC is *prima facie* evidence that DPP and Harvey are entitled to these costs. New Generation has the burden to challenge them on grounds they are not reasonable or necessary or that they are improper or not allowable. New Generation has not met its burden. These costs do not depend on the timing or service of a § 998 Offer. These costs are allowed.

#### Item No. 4 (Deposition Costs)

CCP § 1033.5(a)(3) allows an award of expenses for “[t]aking, video recording, and transcribing necessary depositions including an original and one copy of those taken by the claimant and one copy of depositions taken by the party against whom costs are allowed.” New Generation challenges \$10,249.88 in deposition costs incurred during the course of this litigation on the same grounds as set forth above.

Here again, New Generation has not asserted these costs are not reasonable or necessary, improper or not allowable. New Generation has not met its burden. These costs do not depend on the timing or service of a § 998 Offer. These costs are allowed.

#### Item No. 8b (Expert Witness Fees)

Expert fees not ordered by the court are generally not allowable as costs. (CCP §1033.5(b)(1).) However, expert fees are permitted in an MOC per CCP §998. In general, the court has discretion to require a plaintiff to pay a reasonable sum to cover *post-offer costs* of the services of expert witnesses when actually incurred and reasonably necessary for either or both defendant’s preparation for trial or arbitration and the trial or arbitration itself. (CCP §998(c)(1).)

New Generation challenges \$13,246.33 in DPP's and Harvey's MOC as to expert fees claiming they are not entitled to *preoffer* expert fees. To the contrary, DPP and Harvey assert that the claimed expert fees were only for costs incurred *after* 11/20/25 or *postoffer* expert fees. (Oppo., Dec. Lowe ¶ 10, Ex. "4".) As a result, these costs are allowed.

#### Item No. 15 (Other)

New Generation challenges one of the costs set forth in this category of DPP's and Harvey's MOC - the JAMS mediation fee (\$5,433.33.) However, the challenge is the same as for filing and motion fees and deposition costs, discussed above. New Generation has not established that these costs were unreasonable or unnecessary. It has not refuted DPP's and Harvey's *prima facie* showing that they were reasonably and necessarily incurred. These costs are allowed.

In addition, New Generation vaguely and in conclusory fashion, claims attorney hotel and transportation charges, attorney meals and per diem, and unexplained photocopying are not allowable. However, it has made this challenge, for the first time, in the Reply. Costs are allowed.

### 3.

| CASE #      | CASE NAME                                                  | HEARING NAME                                |
|-------------|------------------------------------------------------------|---------------------------------------------|
| CVPS2301515 | NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC | MOTION FOR ATTORNEYS FEES BY NEW GENERATION |

**Tentative Ruling:** Denied.

Defendant/Cross Complainant to provide notice pursuant to CCP 1019.5.

Plaintiff/Cross-Defendant, New Generation Investments, LLC (New Generation), brings this motion for attorneys' fees pursuant to the Vacant Land Purchase Agreement (VLPA) entered into between New Generation and Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10) seeking \$202,049.50. (Civil Code § 1717(b)(1).) New Generation argues that it is the prevailing party because the jury returned a complete defense verdict in favor of New Generation on its Complaint and on Palm 10's Cross-Complaint. New Generation asserts its loss (\$1.5 million) was less than Palm 10's loss (\$2.9 million) so New Generation obtained the greater relief.

Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10), opposes the motion arguing that recovering the greater relief is not based on what was sought and *not* received but, on what it sought that was received; that Palm 10 is the prevailing party because it was *awarded* the \$1.5 million in deposit monies and extension fees as well as a release of the lis pendens; that Palm 10 is entitled to an attorneys' fees award of \$383,629.50; that the authority cited by New Generation that neither side recovered relief is factually distinguishable.

The Reply asserts that Palm 10's Opposition relies on a single factual assertion – that the Judgment awarded \$1.5 million to Palm 10, which it did not; the jury never reached the damages question of the special verdict; and, that the verdict was a mutual takes-nothing verdict.

#### Attorney Fees

In general, California follows the "American Rule" regarding entitlement to attorney's fees, whereby each party bears its own attorney's fees unless such fees are expressly provided for by statute, or are included as part of the terms of a contract. (CCP §1021; *Reynolds Metal Co. vs. Alperson* (1979) 25 Cal. 3d 124, 127.) Attorney's fees as an allowable cost item are governed by CCP §1033.5(a)(10) and (c)(5), and motions for such fees are governed by CRC 3.1702. The



court may properly award attorney's fees when a contract provides for the allowance of attorney's fees and suit is instituted to enforce the provisions of the contract: the trial court decides who is the prevailing party, and fixes attorney's fees pursuant to Civil Code § 1717. Section 1717 applies to contract provisions for the recovery of attorney's fees, whether such provisions are unilateral (that is, allowing only one party to recover), or reciprocal (such as one allowing recovery by a "prevailing party"). (*Santisas vs. Goodin* (1998) 17 Cal. 4<sup>th</sup> 599, 614).

New Generation brings this motion pursuant to Civil Code § 1717(b)(1) as the prevailing party who obtained the greater relief in the action on the contract. New Generation argues that it obtained "a simple unqualified victory by completely prevailing on or defeating, all contract claims" and the VLP (contract) provides for reasonable attorneys' fees. (*Scott Co. of Calif. v. Blount, Inc.* (1990) 20 Cal.4<sup>th</sup> 1103, 1109.) New Generation asserts it is the prevailing party because its loss was \$1.5 million and Palm 10's loss was \$2.9 million so, New Generation obtained the greater relief.

However, where "neither party achieves a complete victory on all the contract claims, it is within the trial court's discretion to determine which party "prevailed" on the contract." (Weil & Brown, CPG: Civ. Proc. Before Trial (TRG 2026) § 17:837 citing *Scott Co., supra.*) Moreover, if the case goes to trial, the award of costs and fees is *discretionary* with the court: "The court may also determine that there is *no party prevailing* on the contract ...." (*Id.* § 17:868 citing Civil Code § 1717(b)(1).) "This allows the court to withhold fees where the outcome is a "draw" as a practical matter, although one party may be "technically speaking" a prevailing party for purposes of court costs." (*Id.* citing *Hilltop Investment Assocs. v. Leon* (1994) 28 Cal.App.4<sup>th</sup> 462, 466.) "This determination is appropriate where both parties seek relief but neither prevails; or where the ostensibly prevailing party received only part of the relief sought. In such cases, the judgment is "considered [both] good news and bad news to each of the parties." (*Id.* § 17:869 citing *Hsu v. Abbata* (1995) 9 Cal.4<sup>th</sup> 863, 874-875.)

"But it is an abuse of discretion to award fees to a party who prevailed on a minor "battle" but who lost the "war" (the main issue in the action)." (*Id.* citing *Artesia Med. Dev. Co. v. Regency Assocs., Ltd.* (1989) 214 Cal.App.3d 957, 966.) "Where relief was denied on both the complaint and cross-complaint, in cross-actions on the same contract, the court decided there was *no* prevailing party under Civ. Co. § 1717. The fact the defendant was the prevailing party under CCP § 1032 for purposes of recovering its court costs was irrelevant." (*Id.* § 17:870 citing *McLarand, Vasquez & Partners, Inc. v. Down Sav. & Loan Ass'n* (1991) 231 Cal.App.3d 1450, 1456.)

Here, the "Defense Judgment" was filed on 3/16/26, and entered on 3/24/26. It attaches the jury's verdict as Exhibit "A". As to New Generation's Complaint, the jury found no liability by Defendants, Palm 10, Harvey, and Desert Pacific Properties (DPP) to New Generation's Complaint. (Defense Judgment p. 17 of 21.) The jury also found no liability by New Generation as to Palm 10's Cross-Complaint. (*Ibid.*) The verdict further provided that New Generation "shall take nothing" from Palm 10, Harvey, and DPP for its claims asserted in its Complaint. (*Ibid.*) And, Palm 10 "shall take nothing" from New Generation. (*Ibid.*)

New Generation argues that it was the prevailing party because it obtained the greater relief by proving a loss (\$1.5 million), which was less than Palm 10's loss (\$2.9 million). However, the Judgment is clear that both New Generation and Palm 10 took nothing on their respective actions. These circumstances do not indicate that New Generation obtained the greater relief to make it the prevailing party on the contract claims. New Generation is, therefore, not entitled to attorneys' fees.

4.

| CASE #      | CASE NAME                                                  | HEARING NAME                         |
|-------------|------------------------------------------------------------|--------------------------------------|
| CVPS2301515 | NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC | MOTION FOR ATTORNEYS FEES BY PALM 10 |

**Tentative Ruling:** Denied.

Plaintiff/Cross Defendant to provide notice pursuant to CCP 1019.5.

Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10), brings this motion for attorneys' fees pursuant to the Vacant Land Purchase Agreement (VLPA) entered into between Palm 10 and New Generation, seeking \$383,629.50. (Civil Code § 1717(b)(1).) Palm 10 argues that it is the prevailing party because it obtained the greater relief on the contract – it was allowed to keep the \$1.5 million in deposit and extension monies and obtained a release of its lis pendens wrongfully recorded against Palm 10's property.

New Generation opposes the motion arguing that Palm 10 has not established it was the prevailing party for purposes of Civil Code § 1717; that each party did not obtain a "simple, unqualified victory"; that Palm 10 was actually awarded nothing; that this motion fails on the independent ground that Palm 10 did not establish its fees were reasonable and necessary - no details of its attorneys' fees were provided; and, Palm 10 has not distinguished its fees in defending New Generation's Complaint from those incurred in prosecuting its own Cross-Complaint.

#### Attorney Fees

In general, California follows the "American Rule" regarding entitlement to attorney's fees, whereby each party bears its own attorney's fees unless such fees are expressly provided for by statute, or are included as part of the terms of a contract. (CCP §1021; *Reynolds Metal Co. vs. Alperson* (1979) 25 Cal. 3d 124, 127.) Attorney's fees as an allowable cost item are governed by CCP §1033.5(a)(10) and (c)(5), and motions for such fees are governed by CRC 3.1702. The court may properly award attorney's fees when a contract provides for the allowance of attorney's fees and suit is instituted to enforce the provisions of the contract: the trial court decides who is the prevailing party, and fixes attorney's fees pursuant to Civil Code § 1717. Section 1717 applies to contract provisions for the recovery of attorney's fees, whether such provisions are unilateral (that is, allowing only one party to recover), or reciprocal (such as one allowing recovery by a "prevailing party"). (*Santisas vs. Goodin* (1998) 17 Cal. 4<sup>th</sup> 599, 614).

Palm 10 brings this motion pursuant to Civil Code § 1717(b)(1) as the prevailing party who obtained the greater relief in the action on the contract. Palm 10 argues that it obtained "a simple unqualified victory by completely prevailing on or defeating, all contract claims" and noted that the VLPA (contract) provides for reasonable attorneys' fees. (*Scott Co. of Calif. v. Blount, Inc.* (1990) 20 Cal.4<sup>th</sup> 1103, 1109.) Palm 10 asserts it is the prevailing party because it was allowed to keep the \$1.5 million in deposit and extension monies and obtained a release of its lis pendens wrongfully recorded against Palm 10's property so, Palm 10 obtained the greater relief.

However, where "neither party achieves a complete victory on all the contract claims, it is within the trial court's discretion to determine which party "prevailed" on the contract." (Weil & Brown, CPG: Civ. Proc. Before Trial (TRG 2026) § 17:837 citing *Scott Co., supra*.) Moreover, if the case goes to trial, the award of costs and fees is *discretionary* with the court: "The court may also determine that there is *no party prevailing* on the contract ...." (*Id.* § 17:868 citing Civil Code § 1717(b)(1).) "This allows the court to withhold fees where the outcome is a "draw" as a practical

matter, although one party may be “technically speaking” a prevailing party for purposes of court costs.” (*Id.* citing *Hilltop Investment Assocs. v. Leon* (1994) 28 Cal.App.4<sup>th</sup> 462, 466.) “This determination is appropriate where both parties seek relief but neither prevails; or where the ostensibly prevailing party received only part of the relief sought. In such cases, the judgment is “considered [both] good news and bad news to each of the parties.” (*Id.* § 17:869 citing *Hsu v. Abbata* (1995) 9 Cal.4<sup>th</sup> 863, 874-875.)

“But it is an abuse of discretion to award fees to a party who prevailed on a minor “battle” but who lost the “war” (the main issue in the action).” (*Id.* citing *Artesia Med. Dev. Co. v. Regency Assocs., Ltd.* (1989) 214 Cal.App.3d 957, 966.) “Where relief was denied on both the complaint and cross-complaint, in cross-actions on the same contract, the court decided there was *no* prevailing party under Civ. Co. § 1717. The fact the defendant was the prevailing party under CCP § 1032 for purposes of recovering its court costs was irrelevant.” (*Id.* § 17:870 citing *McLarand, Vasquez & Partners, Inc. v. Down Sav. & Loan Ass’n* (1991) 231 Cal.App.3d 1450, 1456.)

Here, the “Defense Judgment” was filed on 3/16/26, and entered on 3/24/26. It attaches the jury’s verdict as Exhibit “A”. As to New Generation’s Complaint, the jury found no liability by Defendants, Palm 10, Harvey, and Desert Pacific Properties (DPP) to New Generation’s Complaint. (Defense Judgment p. 17 of 21.) The jury also found no liability by New Generation as to Palm 10’s Cross-Complaint. (*Ibid.*) The verdict further provided that New Generation “shall take nothing” from Palm 10, Harvey, and DPP for its claims asserted in its Complaint. (*Ibid.*) And, Palm 10 “shall take nothing” from New Generation. (*Ibid.*)

Palm 10 argues that it was the prevailing party because it obtained the greater relief by being allowed to keep the \$1.5 million in deposit and extension monies and obtaining a release of its lis pendens wrongfully recorded against Palm 10’s property. However, the Judgment is clear that both Palm 10 and New Generation took nothing on their respective actions. These circumstances do not indicate that New Generation obtained the greater relief to make it the prevailing party on the contract claims. New Generation is, therefore, not entitled to attorneys’ fees.

**5.**

| CASE #      | CASE NAME                                                | HEARING NAME                                                                                                                                                                                 |
|-------------|----------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| CVPS2405026 | ALLEN VS DESERT ORTHOPEDIC CENTER, A MEDICAL GROUP, INC. | MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION ON COMPLAINT OF ANDREW ALLEN BY DESERT ORTHOPEDIC CENTER, A MEDICAL GROUP, INC., HAZMER CASSIM, DR. STEPHEN O'CONNELL |

**Tentative Ruling:** Granted.

Moving Defendants to submit proposed judgment within 10 days of this order becoming final.

Moving Defendants to provide notice pursuant to CCP 1019.5.

This is a wage and hour action.

On August 9, 2024, Plaintiff Andrew Allen (“Plaintiff”) filed a Complaint against Defendants Desert Orthopedic Center, a Medical Group (“Desert Orthopedic”), Hazmer Cassim (“Cassim”), and Dr. Stephen O’Connell (“O’Connell”) (together “Defendants”) for: (1) failure to pay all wages, including overtime; (2) inaccurate wage statements; (3) failure to provide meal periods; (4) failure to provide rest periods; and (5) violation of Bus. & Prof. Code § 17200. In the Complaint, Plaintiff alleges

that he was hired by Desert Orthopedic on August 2, 2004 as a physician assistant (“PA”), and from May 19, 2014 to October 11, 2023, he worked for Desert Orthopedic as a misclassified exempt employee earning a salary. (Complaint at ¶¶ 9-10.) In early October 2023, Plaintiff learned that he was the only PA classified as an exempt employee not receiving overtime or meal and rest breaks. (Complaint at ¶ 14.) At that time, his salary was \$175,000 per year; he worked 50-60 hours per week, in addition to being on-call for several days each week; and he was required to track his hours for night and weekend shifts. (Complaint at ¶¶ 11-12, 15.) In October 2023, Plaintiff spoke to his superior, Barbara Limbardo (“Limbardo”), about not receiving overtime pay, and she advised him that his classification as exempt was incorrect. (Complaint at ¶ 17.) Desert Orthopedic’s medical director confirmed that Plaintiff had been misclassified. (Complaint at ¶ 18.) As a result of the misclassification, Plaintiff did not receive meal or rest breaks, or overtime pay. (Complaint at ¶ 19.) Beginning on October 11, 2023, Plaintiff was classified as a non-exempt employee and began earning an hourly wage. (Complaint at ¶ 16.)

In February 2026, Plaintiff filed a motion for summary adjudication of his 1st cause of action for failure to pay all wages due to his misclassification as an exempt employee. On May 22, 2026, the Court denied Plaintiff’s motion finding that Plaintiff did not meet his burden of establishing, as a matter of law, that he did not receive a salary and was misclassified as an exempt employee, and even if he met that burden, Desert Orthopedic presented sufficient evidence to create a triable issue of material fact as to whether Plaintiff was properly classified as an exempt employee. (5/22/26 Minute Order.)

Defendants now move for summary judgment. They argue that the 1st-4th causes of action for Labor Code violations fail because Plaintiff was properly classified as an exempt professional employee since he was a learned professional exercising independent judgment and was earning a predetermined salary above the minimum wage threshold every pay period, so he was not entitled to overtime, meal and rest breaks, or revised wage statements. They also argue that the 5th cause of action for violation of Bus. & Prof. Code § 17200 fails because no underlying claim supports it, and the claim for punitive damages fails because there is no malicious, fraudulent, or oppressive conduct.

In opposition, Plaintiff argues that the motion should be denied because Defendants fail to prove each element of the professional exemption. He also argues that triable issues of material fact exist as to whether the exemption applies because he was required to track and record his time; he was paid varying amounts in different pay periods; his paystubs continued to reflect that he was being paid a salary after he was classified as a non-exempt employee in October 2023; and his duties were protocol-driven, supervised, and non-managerial. Finally, he argues that the prior ruling denying his motion for summary adjudication does not entitle Defendants to summary judgment.

In reply, Defendants argue that the evidence clearly shows that Plaintiff was an exempt employee, and Plaintiff is now trying to contradict his own deposition testimony to create a dispute over whether he qualified as such. They also argue that Plaintiff has admitted throughout this litigation that he was paid a salary, and he fails to identify any pay period when he was paid less than his salary. Finally, they argue that Plaintiff’s new theory, not asserted in the Complaint, that Desert Orthopedic violated Labor Code § 226 when it continued to pay Plaintiff a salary after it reclassified him as a non-exempt employee is improper for several reasons: (1) Plaintiff’s misclassification claims are limited to the pleadings, where he alleges he was misclassified between May 19, 2014 and October 11, 2023; (2) it has no bearing on the professional exemption issue raised by this motion; and (3) even if the court considers the theory, Plaintiff presents no evidence that he suffered any injury under Labor Code § 226.

### Evidentiary Objection(s)

#### Plaintiff's Objections

Plaintiff objects to several facts set forth in Defendants' separate statement. These objections lack merit, as the statements in the separate statement do not constitute evidence. As there is no basis to assert evidentiary objections to the separate statement, these objections are overruled.

#### Defendant Desert Orthopedic's Objections

Defendants object to ¶¶ 4-12 of Plaintiff's declaration, and Exs. A-C thereto, regarding his paycheck stubs and timesheets and what they show, and stating that he was required to track his time, was not paid for overtime, and that the amount he was paid varied by pay period. Overruled.

Defendants also object to ¶¶ 13-15 of Plaintiff's declaration, in which he details his day-to-day job responsibilities and job duties, on the ground that these statements contradict Plaintiff's prior deposition testimony. Sustained.. (See, *D'Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 21-22.)

Defendants object to Exs. A-G attached to the Decl. of Matthew Perez ["Perez Decl."]. As Mr. Perez has no personal knowledge or foundation regarding Exs. A-E (Plaintiff's paystubs, timesheets, and a Personnel Action Form), the objections to these exhibits are sustained. The objections to the deposition transcripts attached as Exs. F and G are overruled.

### Request for Judicial Notice (RJN)

Defendants request that the Court take judicial notice of: (1) the Complaint, filed 8/9/24; (2) the Court's 5/22/26 ruling denying Plaintiff's motion for summary adjudication; and (3) Plaintiff's PA license. These documents are the proper subject of judicial notice [Evid. Code § 452(d), (h)], and Plaintiff raises no objection. GRANTED

### Summary Judgment

Summary judgment is granted when a moving party establishes the right to entry of judgment as a matter of law. (C.C.P. § 437c(c).) A defendant moving for summary judgment bears the initial burden of proving that there is no merit to a cause of action by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to that cause of action. (C.C.P. § 437c(p)(2); *Cucuzza v. City of Santa Clara* (2002) 104 Cal.App.4th 1031, 1037.) Importantly, a moving defendant establishes a right to summary judgment by showing that the plaintiff lacks the evidence to support at least one element of the cause(s) of action pleaded. (*Cole v. Town of Los Gatos* (2012) 205 Cal.App.4th 749, 756. See also *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 855.)

Once the defendant has made such a showing, the burden shifts to the plaintiff to show that a triable issue of one or more material facts exists as to that cause of action or as to a defense to the cause of action. (*Aguilar, supra*, 25 Cal.4th at 849.) The opposing party may not rely upon the allegations or denials in its pleadings, but must "set forth the specific facts showing that a triable issue of material fact exists." (C.C.P. § 437c(p)(2).) Claims and theories not supported by admissible evidence do not raise triable issues of fact. (*Rochlis v. Walt Disney Co.* (1993) 19 Cal.App.4th 201, 219, disapproved on another ground in *Turner v. Anheuser-Busch, Inc.* (1994) 7 Cal.4th 1238.) However, while summary judgment is no longer considered a "disfavored" procedure, the moving party's evidence must be strictly construed, while the opposing party's evidence must be liberally construed. (*Binder v. Aetna Life Ins. Co.* (1999) 75 Cal.App.4th 832,

838.) If the plaintiff does not meet his burden of establishing a triable issue of material fact, summary judgment in favor of the defendant is appropriate.

#### 1<sup>st</sup> through 4<sup>th</sup> Causes of Action – Issue of Whether Plaintiff Was Properly Qualified as an Exempt Employee

Plaintiff's claims in this action are based on his contention that he was improperly classified as an exempt employee, and because he was so classified, he was not paid for overtime, did not receive meal or rest breaks, and did not receive accurate wage statements. (Complaint at ¶¶ 10, 23-24, 26-30, 33-35, 38-41, 45-50.) Defendants move for summary judgment of these claims on the ground that the undisputed evidence shows that Desert Orthopedic properly classified Plaintiff as an exempt employee, and Plaintiff was therefore not entitled to overtime, meal and rest breaks, and revised pay statements. (Motion; P&As iso Motion, pp. 1:2-4:11.)

Pursuant to Labor Code § 515(a), an employee is exempt from various requirements "if the employee is primarily engaged in the duties that meet the test of the exemption, customarily and regularly exercises discretion and independent judgment in performing those duties, and earns a monthly salary equivalent to no less than two times the state minimum wage for full-time employment." Thus, in California, to qualify as exempt from wage and hour laws, an employee must meet both the salary basis test and the job duties test. (Lab. Code § 515(a); see also *Conley v. Pacific Gas & Electric Co.* (2005) 131 Cal.App.4th 260, 266.)

##### 1. Job Duties

Under the job duties test, the employee's primary job duties must fall within the recognized exemptions, one of which is the "professional exemption." Under Wage Order No. 4-2001 and Labor Code section 515, to qualify for the professional exemption, the employee must either have a license and be primarily engaged in the field of "law, medicine, dentistry, optometry, architecture, engineering, teaching, or accounting," or be engaged in an occupation recognized as a "learned profession." (See 8 C.C.R. § 11040(1)(A)(3)(a)-(b).) An employee is engaged in a learned profession if he or she performs "work requiring knowledge of an advanced type in a field of science or learning customarily acquired by a prolonged course of specialized intellectual instruction and study." (8 C.C.R. § 11040(1)(A)(3)(b)(i).) Under either circumstance, the employee must also "customarily and regularly exercise discretion and independent judgment" in performing their duties. (8 C.C.R. § 11040(1)(A)(3)(c).)

All exemptions turn on the primary duty test – the duty that consumes more than half of the employee's work time. (See, *Nordquist v. McGraw-Hill Broad. Co.* (1995) 32 Cal.App.4th 555, 563.) Evidence of occasional exempt tasks does not establish exempt status if non-exempt duties predominate. (*Id.*) Moreover, "discretion and independent judgment involves the comparison and evaluation of possible courses of conduct, and acting or making a decision after considering various possibilities. It implies that the employee has the power to make an independent choice free from immediate supervision and with respect to matters of significance. The decision may be in the form of a recommendation for action subject to the final authority of a superior, but the employee must have sufficient authority for the recommendations to affect matters of consequence to the business or its customers... An employee who merely applies his or her knowledge in following prescribed procedures or in determining which procedures to follow, or who determines whether specified standards are met ... is not exercising discretion and judgment of the independent sort..." (*Id.*)

In support of their argument that Plaintiff qualifies for the professional exemption, Defendants present the following evidence:

Plaintiff holds, and at all relevant times held, a valid physician's assistant license [RFJN, Ex. 3];

Plaintiff obtained a bachelors of science from USC and a master's of Medical Science Physician Assistance from Yale [Deposition of Andrew Allen, attached as Ex. 1 to Defendants' Compendium of Evidence ("Defendants' COE"), p. 13:4-15];

At Desert Orthopedic, Plaintiff "basically ran a parallel clinic to Dr. O'Connell," seeing patients on his own schedule and assisting Dr. O'Connell in surgeries [Defendants' COE, Ex. 1, p. 26:4-11];

He saw between 12 and 40 patients a day, and after 2020, he regularly saw 30-40 patients per day [Defendants' COE, Ex. 1, p. 27:4-20];

In a routine visit with a patient, he "would examine the patient, make a diagnosis, [and] offer treatment options" [Defendants' COE, Ex. 1, pp. 27:23-28:4, 37:3-19];

Plaintiff ordered 2-3 MRIs for patients per day [Defendants' COE, Ex. 1, p. 37:20-24];

He communicated with patients via email almost every day [Defendants' COE, Ex. 1, p. 64:2-17]

Plaintiff's job was "intellectually challenging" and every day was different [Defendants' COE, Ex. 1, pp. 28:20; 29:10];

From 2020 on, Plaintiff was in the clinic 3.5-4 days per week, and sometimes 5 days because Dr. O'Connell was taking more time off [Defendants' COE, Ex. 1, p. 30:15-25]; and

From 2020 on, Dr. O'Connell was in the clinic exam room with Plaintiff about 10 percent of the time, often post-op, so the patient could see the surgeon or if something else needed to be addressed [Defendants' COE, Ex. 1, pp. 34:6-23, 37:3-8].

Based on the evidence that Plaintiff holds a PA license and obtained a PA master's degree from Yale [RFJN, Ex. 3, Defendants' COE, Ex. 1, p. 13:4-15], Defendants have established that Plaintiff is a professional and/or a learned professional for purposes of the professional exemption. (See 8 C.C.R. § 11040(1)(A)(3)(a)-(b).) Defendants' evidence, in the form of Plaintiff's own testimony, that Plaintiff saw 30-40 patients per day, with Dr. O'Connell in the exam room with him only 10 percent of the time, and Plaintiff examined, diagnosed, and treated these patients, only involving Dr. O'Connell if he (Plaintiff) had a question or the patient wanted to see the surgeon [Defendants' COE, Ex. 1, pp. 26:4-11, 27:4-28:4, 30:15-25, 34:6-23, 37:3-24, 64:2-17] is sufficient to establish that Plaintiff had the power to make independent choices, and customarily and regularly (i.e., more than 50% of the time) exercised discretion and independent judgment" in performing his duties. (8 C.C.R. § 11040(1)(A)(3)(c); *Nordquist, supra*, 32 Cal.App.4th at 563.) Therefore, Defendants have met their burden of establishing that Plaintiff meets the job duties portion of the professional exemption, and the burden shifts to Plaintiff to present evidence creating a triable issue of material fact.

Plaintiff does not truly dispute any of the above evidence (and cannot, as it all comes directly from his own deposition testimony). However, in an effort to show he did not act with discretion and

independent judgment, Plaintiff presents evidence that he sometimes would bring in Dr. O'Connell to help make a diagnosis if he was unable to do so, or include him in a post-op appointment where the patient wanted to see the surgeon. (Deposition of Andrew Allen, attached as Ex. F to Plaintiff's Compendium of Exhibits ["Plaintiff's' COE"], pp. 29:4-10, 35:1-10.) This evidence, however, does not show that Plaintiff's primary duties (more than 50% of his work) were non-exempt.

Plaintiff also submits his declaration as evidence, in which he states that "his clinical decisions were constrained by written protocols and supervisory requirements," and he "had minimal discretion outside the established clinical pathways." (Decl. of Andrew Allen ["Allen Decl."] at ¶¶ 14-15.) However, these statements contradict Plaintiff's prior deposition testimony that he "ran a parallel clinic to Dr. O'Connell;" often saw patients on his own and examined, diagnosed, and treated them; and was on his own with patients approximately 90% of the time. (Defendants' COE, Ex. 1, pp. 26:4-11, 27:4-28:4, 30:15-25, 34:6-23, 37:3-24.) Therefore, they are inadmissible. (See, *D'Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 21-22 [a party cannot create an issue of fact by a declaration which contradicts his prior deposition testimony].)

Accordingly, Plaintiff fails to create a triable issue of material fact as to whether he meets the job duties portion of the professional exemption. For the exemption to apply, Defendants must also satisfy the salary basis test as well. (Lab. Code § 515(a); see also *Conley, supra*, 131 Cal.App.4th at 266.)

## 2. Salary

Under the salary basis test of the professional exemption, the employee must earn a fixed monthly salary that is at least twice the state minimum wage for full-time employment (i.e., greater than \$66,560 as of 2024). (Lab. Code § 515(a); 8 C.C.R. § 11040(1)(A)(3)(d).)

Defendants present evidence that in his deposition, Plaintiff admitted that in 2014, he negotiated a \$175,000 salary with Desert Orthopedic, and his compensation from then on was made up of that salary plus on-call bonuses. (Defendants' COE, Ex. 1, pp. 116:21-117:17, Ex. 2, pp. 282:20-283:5.) Defendants also present evidence that Plaintiff was always paid a minimum of \$6,730.77 each pay period, which was equal to his \$175,000 salary; he also paid overtime or an incentive for his hospital hours; and he was paid the minimum amount even if he worked less than 40 hours. (Deposition of Barbara Limardo, attached to Defendants' COE as Ex. 3, pp. 59:16-62:23, 64:11-16, 87:6-24.) Thus, Defendants have presented sufficient evidence to satisfy the salary basis test for the professional exemption, and shift the burden to Plaintiff to create a triable issue of material fact as to whether he was actually paid a salary.

Plaintiff presents evidence that he was required to track his time, he was paid different amounts each pay period, his pay stubs listed his hours and various earning categories, and he was sometimes paid overtime, arguing that this shows he was not paid a salary. (Allen Decl. at ¶¶ 7-11, Plaintiff's COE, Exs. A-C.) He cites the case of *Negri v. Koning & Associates* (2013) 216 Cal.App.4th 392, as support for his contention that because he was paid different amounts on each paycheck, he was not paid a salary. In *Negri*, the court noted that "the question presented in this case is whether a compensation scheme based solely upon the number of hours worked, with no guaranteed minimum, can be considered a salary." (*Id.* at 395.) In resolving this question in the negative, the court stated: "A salary is generally understood to be a fixed rate of pay as distinguished from an hourly wage. Thus, use of the word salary implies that an exempt employee's pay must be something other than an hourly wage." (*Id.* at 397 [internal quotations omitted].) The court noted that federal regulations provide that "[a]n employee is paid on a salary basis if the employee regularly receives each pay period on a weekly, or less frequent basis, a predetermined amount constituting all or part of the employee's compensation, which amount is not subject to reduction because of variations in the quality or quantity of the work performed."



(*Id.* at 398 [internal quotations omitted][emphasis added].) The court acknowledged that “as a general matter, an exempt employee may be paid extra for extra work without losing the exemption,” but found that rule did not apply in that case because the employer had stipulated that it did not pay the plaintiff a guaranteed salary. (*Id.* at 400.)

Here, while Plaintiff presents evidence that he was paid different amounts each pay period, he does not present evidence that the amount paid was subject to reduction based on the amount or quality of his work. Further, Defendants present evidence that Plaintiff was only required to track his hours for incentive/overtime pay purposes, and the categories and hours listed on the paystubs was to provide transparency to the employees. (Defendants’ COE, Ex. 3, pp. 21:13-23, 42:13-43:3, 59:16-63:12.) Additionally, payment of overtime wages does not show the lack of a salary for purposes of determining exemption status. (*Boykin v. Boeing Co.* (9th Cir. 1997) 128 F.3d 1279, 1281 [“The DOL has unequivocally and consistently declared that additional compensation in the form of hourly overtime payment does not defeat exempt status under the salary-basis test”].) As Defendants’ evidence establishes that Plaintiff was always paid a minimum amount equal to his \$175,000 salary, regardless of the hours he worked [Defendants’ COE, Ex. 3, pp. 59:16-62:23, 64:11-16, 87:6-24], and Plaintiff presents no evidence to the contrary, Plaintiff fails to meet his burden of establishing a triable issue of material fact regarding whether he was paid a salary.

As Defendants presented sufficient evidence to establish Plaintiff met both the job duties and salary basis tests to qualify for the professional exemption, and Plaintiff presents no evidence to the contrary, the summary judgment motion must be granted.

#### Plaintiff’s New Theory

In a final attempt to defeat Defendants’ motion for summary judgment, Plaintiff asserts a new theory: that Desert Orthopedic violated Labor Code § 226 by labeling Plaintiffs compensation as a salary after it reclassified him as a non-exempt employee on October 11, 2023. (Opposition, pp. 8:21-9:24.)

Defendants argue that this argument is improper because it is based on facts and a theory not pled in the Complaint, and a plaintiff cannot defeat summary judgment by asserting a new unpled theory. Defendant is correct. “The burden of a defendant moving for summary judgment only requires that he or she negate plaintiff’s theories of liability as alleged in the complaint; that is, a moving party need not refute liability on some theoretical possibility not included in the pleadings.” (*Hutton v. Fidelity National Title Co.* (2013) 213 Cal.App.4th 486, 493.) “A moving party seeking summary judgment or adjudication is not required to go beyond the allegations of the pleading, with respect to new theories that could have been pled, but for which no motion to amend or supplement the pleading was brought, prior to the hearing on the dispositive motion.” (*Howard v. Omni Hotels Management Corp.* (2012) 203 Cal.App.4th 403, 421.) “To create a triable issue of material fact, the opposition evidence must be directed to those issues raised by the pleadings.” (*Id.* at 423.)

Now Plaintiff alleges that “from May 19, 2014 to October 11, 2023, Plaintiff worked under Defendant Dr. O’Connell as a misclassified exempt employee earning a salary.” (Complaint at ¶ 10.) He also alleges that “[a]s a result of being misclassified from May 19, 2014 to October 11, 2023, Plaintiff did not receive meal and rest periods. Similarly, despite working more than 8 hours per day and/or 40 hours per week Plaintiff was paid an overtime wage.” (Complaint at ¶ 19.) Thus, his claims as asserted in the Complaint are based on his alleged misclassification as an exempt employee from May 19, 2014 to October 11, 2023. While Plaintiff alleges that beginning October 11, 2023, he was reclassified as a non-exempt employee earning an hourly wage [Complaint at ¶ 16], there are no allegations of any wrongful conduct by Defendants after October 11, 2023, or

as a result of this reclassification or how he was paid thereafter. (See, Complaint, generally.) Therefore, Plaintiff cannot defeat summary judgment based on this theory. (*Howard, supra*, 203 Cal.App.4th at 421, 423; *Hutton, supra*, 213 Cal.App.4th at 493.) Furthermore, Plaintiff presents no evidence to support this theory, only conclusory arguments. (*Rochlis, supra*, 19 Cal.App.4th at 219 [claims and theories not supported by admissible evidence do not raise triable issues of fact].)

#### 5<sup>th</sup> Cause of Action - Violation of Bus. & Prof. Code § 17200

In addition to the claims for failure to provide overtime wages, rest and meal breaks, and accurate wage statements, Plaintiff asserts a cause of action for violation of Bus. & Prof. Code § 17200 based on the same alleged Labor Code violations. Bus. & Prof. Code § 17200 prohibits any business act or practice that is unlawful, unfair, or fraudulent. An “unfair” practice occurs “when that practice offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers.” (*Moran v. Prime Healthcare Mgmt., Inc.* (2016) 3 Cal.App.5th 1131, 1150 [citation and internal quotation marks omitted].) Under the unlawful prong, the UCL borrows violations of other laws and treats them as unlawful business practices that are independently actionable under the UCL. (*Smith v. State Farm* (2001) 93 Cal.App.4th 700, 718.) To satisfy the fraudulent prong of the UCL, the plaintiff must show that the business practice is likely to deceive the public. (*Klein v. Earth Elements* (1997) 59 Cal.App.4th 965.) A cause of action for violating this statute “borrows” actionable conduct and makes it independently actionable under the unfair competition law. (*Smith v. State Farm* (2001) 93 Cal.App.4th 700, 718.) Since Defendants have established that Plaintiff’s Labor Code claims fail as a matter of law, Plaintiff has not alleged any unlawful conduct supporting this cause of action. (*Smith, supra*, 93 Cal.App.4th at 718.)

6.

| CASE #      | CASE NAME            | HEARING NAME                                                       |
|-------------|----------------------|--------------------------------------------------------------------|
| CVPS2604217 | MADRIGAL VS DELACRUZ | DEMURRER ON COMPLAINT OF ENRIQUE MADRIGAL BY AIDEN RAZIEL DELACRUZ |

**Tentative Ruling:** Sustained.

Sustained as to 3<sup>rd</sup> cause of action. Plaintiff granted leave to amend, one last and additional time, within 10 days of this order becoming final. If Plaintiff does not file a 1<sup>st</sup> Amended Complaint, moving Defendant is to file their answer within 20 days to the remaining causes of action on the operative complaint.

Moving Defendant to provide notice pursuant to CCP 1019.5.

Plaintiff Enrique Madrigal brings this personal injury action arising out of a car accident on 10/17/25 at Madison St. and Miles Ave. in Indio. Plaintiff alleges Defendant Aiden Raziel Delacruz rear ended him, and admitted to being intoxicated. The complaint, filed 5/13/26, asserts: (1) motor vehicle; (2) general negligence; and (3) intentional tort (intentional infliction of emotional distress).

Defendant demurs to the 3<sup>rd</sup> cause of action for failure to state facts sufficient. Defendant argues that he and Plaintiff are strangers and occupied the roadway at the same time. There are no allegations that would support any intent to cause emotional distress. He also argues that Plaintiff does not allege severe emotional distress. Defendant also moves to strike punitive damages, contending it does not meet the standard of *Taylor* or *Dawes*.

In opposition, Plaintiff contends reckless disregard of the probability of causing emotional distress is sufficient for the claim, and that he has sufficiently pled the intent. Alternatively, he requests leave to amend.

### Demurrer

A demurrer tests the legal sufficiency of the pleading, but not the truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Id.*)

The elements of intentional infliction of emotional distress are: (1) extreme and outrageous conduct by the defendant with the intention of causing or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation. (*Christensen v. Superior Court* (1991) 54 Cal.3d 868, 903.) Conduct must be "so extreme as to exceed all bounds of that usually tolerated in a civilized society." (*Huntingdon Life Sciences, Inc. v. Stop Huntingdon Animal Cruelty USA, Inc.* (2005) 129 Cal.App.4th 1228, 1259.)

The first issue is that Plaintiff does not plead facts demonstrating extreme and emotional distress. "Only emotional distress of 'such substantial quantity or enduring quality' that an individual in civilized society should not be expected to endure it constitutes severe emotional distress." (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.) Facts regarding the nature, extent or duration of the alleged emotional distress should be pled in the complaint to support severe emotional distress. (*Ibid.*)

The second issue is intent. "It is not enough that the conduct be intentional and outrageous. It must be conduct directed at the plaintiff, or occur in the presence of a plaintiff of whom the defendant is aware." (*Christensen, supra*, at 903.) In *Christensen*, the Court held that family members of a deceased could not sue for intentional infliction of emotional distress for the intentional mishandling of the decedent's remains. (*Id.* at 877-879, 906.)

In *Potter v. Firestone Tire & Rubber Co.* (1993) 6 Cal.4th 965, 975, the plaintiff property owners lived adjacent to a landfill where the defendant disposed toxic waste subjected the plaintiffs to exposure of carcinogens, resulting in an enhanced but unqualified risk of developing cancer. The Court concluded that *Christensen* precluded liability for intentional infliction of emotional distress unless the defendant's conduct was directed at the plaintiffs, or undertaken with the knowledge of these specific plaintiffs and consumption of the groundwater, and with knowledge that they would suffer severe emotional distress. (*Id.* at 974, 1002-1003.)

Here, in the operative complaint, Plaintiff alleges that it was directed to Plaintiff because he was in the zone of danger. (Complaint, p. 6.) That is not sufficient for purposes of demonstrating that it was directed to Plaintiff. There are no allegations that Defendant drove drunk to rear end Plaintiff specifically.

Plaintiff is relying on reckless disregard. "The law limits claims of intentional infliction of emotional distress to egregious conduct toward plaintiff proximately caused by defendant.' [Citation.] The only exception to this rule is that recognized when the defendant is aware of, but acts with reckless disregard of the plaintiff and the probability that his conduct will cause severe emotional distress to that plaintiff. [Citations.] Where reckless disregard of the plaintiff's interests is the theory of recovery, the presence of the plaintiff at the time the outrageous conduct occurs is recognized as the element establishing a higher degree of culpability which, in turn, justifies recovery of greater damages by a broader group of plaintiffs than allowed on a negligent infliction of emotional distress theory." (*Christensen, supra*, 54 Cal.3d at 905.)

Here, there are no factual allegations to demonstrate that Defendant was aware that his conduct would cause severe emotional distress. Plaintiff pleads the recklessness of drinking and driving, but no facts demonstrating that the conduct would cause severe emotional distress—just the legal conclusion. SUSTAINED WITH ONE ADDITIONAL, AND LAST, OPPORTUNITY TO AMEND.

7.

| CASE #      | CASE NAME            | HEARING NAME                                                            |
|-------------|----------------------|-------------------------------------------------------------------------|
| CVPS2604217 | MADRIGAL VS DELACRUZ | MOTION TO STRIKE COMPLAINT OF ENRIQUE MADRIGAL BY AIDEN RAZIEL DELACRUZ |

**Tentative Ruling:** Moot.

Moving Defendant to provide notice pursuant to CCP 1019.5.

Defendant moves to strike punitive damages, contending it does not meet the standard of *Taylor* or *Dawes*.

As the only allegations for punitive damages are pled within the intentional infliction of emotional distress, and not a separate punitive damages attachment, the motion is moot in light of the demurrer.